Anti-Money Laundering (AML) Policy

Financial Compliance Division — Policy Reference FCD-AML-001 | Version 3.2

1. Purpose and Scope

This Anti-Money Laundering Policy establishes the framework for detecting, preventing, and reporting money laundering activities within our financial institution. This policy applies to all business units, advisors, and customer-facing staff.

Money laundering is the process by which criminals disguise the proceeds of crime to make them appear legitimate. It typically occurs in three stages: placement (introducing illicit funds into the financial system), layering (disguising the trail through complex transactions), and integration (reintroducing the funds into the legitimate economy).

2. Customer Risk Classification

All customers must be assigned a risk score between 0.0 and 1.0 at onboarding and reviewed quarterly. The risk score reflects the likelihood that the customer's activity involves money laundering or financial crime.

Risk tiers: - Low Risk (0.0 to 0.49): Standard due diligence. Annual review. No enhanced monitoring required. - Medium Risk (0.50 to 0.79): Periodic review every six months. Transaction monitoring alerts enabled. - High Risk (0.80 to 1.00): Enhanced Due Diligence (EDD) required immediately. Transactions exceeding $5,000 require manual review. Quarterly face-to-face review with assigned advisor. Immediate escalation to compliance if risk score exceeds 0.90.

Customers with a risk score at or above 0.80 are classified as High Risk Customers (HRC) and are subject to Enhanced Due Diligence (EDD) requirements as defined in Section 4.

3. Transaction Monitoring Rules

The following transaction monitoring rules apply to all accounts:

3.1 Currency Transaction Reporting (CTR): All cash transactions exceeding $10,000 in a single business day must be reported to FinCEN within 15 calendar days of the transaction date.

3.2 Suspicious Activity Reports (SARs): Staff must file a SAR within 30 days of detecting suspicious activity. SARs are required when: - A transaction involves $5,000 or more and there is reason to suspect involvement in illegal activity. - The customer is structuring transactions to avoid reporting thresholds. - Transactions are inconsistent with the customer's known business profile.

3.3 Structuring (Smurfing): It is illegal for customers to deliberately structure transactions to avoid the $10,000 CTR reporting threshold. Red flags include: - Multiple cash deposits on the same day, each below $10,000. - A large inflow exceeding $10,000 followed by multiple smaller outgoing transactions with an average below $5,000 constitutes a prima facie structuring pattern requiring immediate SAR review. - Multiple accounts receiving coordinated transfers from a single source. - Frequent round-number transactions or transactions that appear designed to split a larger amount.

3.4 Wire Transfer Monitoring: Incoming wire transfers exceeding $3,000 must include complete originator information. Cross-border transfers to or from high-risk jurisdictions require additional documentation.

4. Enhanced Due Diligence (EDD)

Enhanced Due Diligence is mandatory for all customers classified as High Risk (risk score at or above 0.80). EDD requirements include:

4.1 Source of Funds Verification: Documentary evidence of the source of all funds deposited exceeding $5,000.

4.2 Beneficial Ownership: Full beneficial ownership disclosure for accounts with beneficial owners holding more than 10% interest.

4.3 Ongoing Transaction Review: All outgoing transactions must be reviewed within 48 hours. Suspicious patterns must be escalated to the BSA Officer immediately.

4.4 Quarterly Review Meetings: The assigned financial advisor must conduct a quarterly review with each HRC client and document findings in the compliance system.

4.5 Relationship Termination: If EDD requirements cannot be satisfied within 90 days of the HRC designation, the institution must consider terminating the business relationship and filing a SAR.

5. Geographic Risk Considerations

Transaction risk is elevated for transfers involving the following country risk tiers:

High-Risk Jurisdictions: Transactions involving jurisdictions on the FATF blacklist or grey list require automatic SAR consideration regardless of amount.

Elevated-Risk Countries in our customer base carry enhanced transaction monitoring requirements: - Brazil (BR): Elevated due to cross-border structuring patterns observed historically. - Singapore (SG): Monitor closely for trade-based money laundering schemes. - India (IN): Enhanced documentation requirements for wire transfers. - France (FR): Standard EU AML Directive compliance applies.

Standard-Risk Countries: United States (US), United Kingdom (UK), Australia (AU), Germany (DE), Canada (CA), and Japan (JP) operate under standard AML monitoring protocols consistent with their domestic regulatory frameworks.

6. Reporting and Escalation

6.1 Internal Escalation: Any employee who identifies a suspicious transaction pattern must immediately notify their compliance officer. Failure to report is subject to disciplinary action and personal regulatory liability.

6.2 SAR Filing: SARs must be filed electronically through FinCEN's BSA E-Filing System. The minimum threshold for SAR filing is $5,000 for known or suspected violations, and $25,000 when the subject cannot be identified.

6.3 Record Retention: All transaction records, EDD documentation, and SAR filings must be retained for a minimum of five years from the date of the last transaction.

6.4 Confidentiality: The existence of a SAR filing must not be disclosed to the subject of the report or any third party. Tipping off a suspect is a criminal offense.